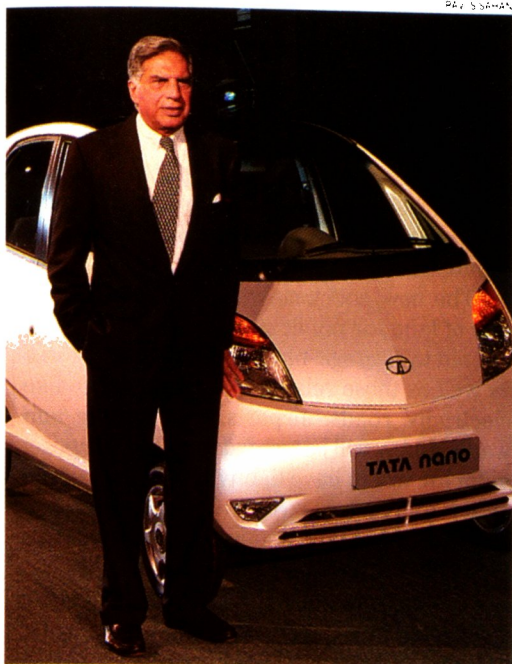




“ If any part of the state feels we are exploiting them, first of all it is totally untrue. We will exit. ”

RATAN TATA, CHAIRMAN, TATA GROUP

round the bend. Mamata may be seen as the face of the anti-industrialisation lobby but she is not the only politician opposing acquisition of farm land for industry. From Narayan Rane in Maharashtra who opposed the allotment of land to Videocon to Kuldeep Bishnoi in Haryana, who opposed allotment of land to Reliance Industries' special economic zone (SEZ), to V.S. Achuthanandan in Kerala, who is opposing any and all development, politicians cutting across party lines seem to see reason to block corporate plans. As electoral interests of a party or individual clash with what is deemed to be investment in the state's interest, parties and politicians have predictably chosen to protect their votebanks first.

It is not just the Nano project which has suffered. Mega ventures like the steel plants of

Posco, Arcelor Mittal, Essar, Jindals, bauxite mining project of Vedanta and the SEZs of Reliance and Videocon have been held up by protests against land acquisition. At stake are over 20 mega projects across India with proposed investments of over Rs 2,33,000 crore or nearly three times the total foreign direct investment India received last year.

Notwithstanding the India story, the stark reality is that India stands out as perhaps the only emerging economic powerhouse with a huge line-up of infrastructure projects requiring huge tracts of land which does not have a modern land acquisition law. Or, for that matter, a Resettlement and Rehabilitation (R&R) policy.

Price discovery is a complex issue and the pitfalls are huge. "Land is acquired from farmers at a price lower than the market value. But once the project kicks off, the price of land in the area shoots up," says Union Commerce Secretary Gopal Pillai. Singur farmers were paid Rs 8.5 lakh per acre for single-crop land and Rs 12 lakh per acre for double-crop land, but today industrial plots in Singur are selling for as high as Rs 40 lakh an acre.

The number and intensity of protests in the countryside have gone up, but they cannot be tackled with laws that are out of sync with reality. Even after 61 years of independence, India is still clinging on to the Land Acquisition Act of 1894 that was promulgated by the British. It governs acquisition of land for industrial projects, SEZs and "public purposes". There is no consensus even over what exactly constitutes public purposes in the context of buying land and zoning laws add to the troubles.

Obviously a calibrated policy on transfer of assets from farmers to entrepreneurs is required. The thought did occur to the UPA Government but action has been caught up in political and bureaucratic red tape. In December 2005, the UPA's National Advisory Council (NAC) brought out a fresh draft rehabilitation policy. But the council soon became defunct in March 2006 after the resignation of Sonia Gandhi as its chairperson, and the R&R policy was cast aside for a while. The UPA Government dumped the NAC draft in a meeting of a group of secretaries on May 2, 2006 and, later in October, presented its own version of a national R&R policy. Since then the draft policy is stuck in the maze of babudom. Although the first draft was okayed in October 2007 and a National Rehabilitation Commission

WHAT WEST BENGAL COULD LOSE:

Rs 1,93,000 crore worth investments spread over 64 projects in the pipeline, including Jindal's steel plant

38 Special Economic Zones with investments of Rs 40,000 crore

ON THE WARPATH: Mamata Banerjee leading a protest rally in Singur

SALIM GROUP INDUSTRIAL HUB, NANDIGRAM, W. Bengal
25,000 acre

JSPL STEEL PLANT Orissa
3,100 acre

RELIANCE SEZ Gurgaon
25,000 acre

CHAMALAPURA POWER PLANT, Mysore
3,000 acre

VEDANTA MINING PROJECT, Orissa
4,000 acre

VIDEOCON SEZ Pune
4,500 acre